DH DRAFT HORSE CAPITAL PARTNERS

TEAR SHEET — MARCH 2026 — CONFIDENTIAL

REG D 506(C) · SINGLE-MANDATE SENIOR SECURED PRIVATE CREDIT · SOVEREIGN & INSTITUTIONAL

Six Layers. *One Counterparty.* Fixed Return.

Direct, bilateral PE lending — structured from day one — $100M identified pipeline — zero management fees

$200K	9–17%	3-Year	Quarterly	Zero	$100M
MINIMUM SUBSCRIPTION	Fixed FIXED CONTRACTUAL YIELD — LOCKED AT SUBSCRIPTION	TERM — NO EARLY REDEMPTION	CASH DISTRIBUTIONS	MANAGEMENT FEES & CARRY	PIPELINE — DEPLOYING ON CLOSE

SIX-LAYER COLLATERAL — UCC-1 PERFECTED SENIOR FIRST LIEN + LLOYD'S OF LONDON CREDIT INSURANCE

- **Layer 1 — PE Portfolio Company Cash Flows**
  Cash flow assignment & receivables sweep under UCC §9-607. Fastest enforcement — 30–60 days from acceleration.
- **Layer 2 — Commercial Real Estate & Inventory**
  UCC-1 security interest against all tangible physical assets. Texas commercial portfolio — independently appraised. Appreciating market.
- **Layer 3 — 100% Portfolio Company Equity Pledge**
  Full ownership control of operating businesses upon exercise. Fund steps in as operator — managed recovery, not distressed fire sale.
- **Layer 4 — Aviation Assets (Current G4-Class Fleet & Growing G550 Enhancement)**
  Current collateral: UCC-1 Article 9 + FAA Civil Aviation Registry (49 U.S.C. § 44107). 4 G4-class aircraft (2 unencumbered, $8–16M current aviation collateral). Future platform enhancement (subordinated): Quarter Horse Capital Partners acquiring G550 fleet for same operator. 24-jet target ($336M floor) → 51 jets ($714M floor). Draft Horse G550 interest subordinated to Quarter Horse first-priority claim; not current perfected collateral at closing.
- **Layer 5 — PE Sponsor Full-Recourse Guaranty**
  Dual equity alignment: Sponsor holds equity in BOTH the borrowing entity AND the charter company (Layer 4 — G4-class fleet operated today; G550 fleet as platform grows). Default impairs sponsor twice. Full-recourse continuing guaranty; survives insolvency.

EIGHT-TIER FIXED CONTRACTUAL YIELD — RATE LOCKED AT SUBSCRIPTION

TIER	CUMULATIVE AUM AT SUBSCRIPTION	FIXED CONTRACTUAL YIELD (P.A.)	QTRLY RATE
1	Up to $10M	9.0%	2.25%
2	$10M – $15M	10.0%	2.50%
3	$15M – $20M	11.0%	2.75%
4	$20M – $25M	12.0%	3.00%
5	$25M – $30M	13.0%	3.25%
6	$30M – $35M	14.0%	3.50%
7	$35M – $50M	15.0%	3.75%
8	**$50M +**	**17.0%**	**4.25%**

Yields are target returns, not guarantees. Fixed contractual yield tier is locked permanently at subscription. Rate does not reset during the 36-month term. No management fee or carry deducted.

ILLUSTRATIVE RETURNS — TIER 8 (17%) PER $1M INVESTED

Quarterly Distribution	$42,500
Annual Income	$170,000
3-Year Total Income (12 qtrs)	$510,000
Principal Return at Maturity	$1,000,000
Total Value Returned	**$1,510,000**

- **Layer 6 — Lloyd's of London Credit Insurance (A+ Rated)**
  Policy being structured; anticipated at or prior to initial close. Upon borrower default, Lloyd's syndicate pays Fund up to 100% of insured principal; Fund distributes pro rata to investors. 36-month term matched to facility. Independent of Layers 1–5. The only private credit fund in its class with this protection. *Policy not yet executed — see disclosure below.*

Layer 6 Disclosure: "The Lloyd's of London credit insurance policy is currently being structured and has not yet been executed. Coverage is subject to final underwriting, policy terms, and Lloyd's syndicate approval. Prospective investors should not rely on the policy as currently in force. The Fund anticipates completing the insurance structure at or prior to initial close and will provide executed policy terms to investors as part of the final due diligence package."

BILATERAL LENDING ADVANTAGE

Direct, bilateral facility — no syndicate agent, no information delay, full real-time covenant visibility. Single-counterparty concentration risk is real and fully disclosed. The bilateral monitoring structure is its deliberate corollary. Both must be weighed.

KEY FUND TERMS

Structure	Reg D 506(c) · §3(c)(1) · Texas LLC
Minimum	**$200,000**
Lock-Up	**36 Mo. — No Early Redemption**
Distributions	Quarterly Cash
Management Fee	**None**
Principal	Caleb Caraway, CIO

Illustrative only. Target yields, not guaranteed. Subject to Fund and borrower performance.

AVIATION COLLATERAL — LAYER 4 ECONOMICS

Aircraft Type	G4-class (current, 2 unencumbered); G550 via QH (future, subordinated)
Market Value / Aircraft	**$30M – $45M**
Net Income / Aircraft / Year	**$2.1M – $3.1M**
Dark Horse Equity / Aircraft	40%
Target Fleet	24 Aircraft
Lien Registration	UCC-1 Art. 9 + FAA Registry (49 U.S.C. §44107)
Coverage vs. $100M Facility	**Current: $8–16M (G4, 2 unencumbered); Platform (future, subordinated): 3.36×–7.1× at full G550 deployment**

ALLOCATOR POSITIONING

DIVERSIFIED SWF
Non-correlated fixed income. Clean quarterly cash flow profile.

INFRASTRUCTURE
Layer 4 = operating aviation infra. Dual debt + 40% equity.

DIRECT LENDING
Single-obligor bilateral. Full collateral visibility. Max monitoring depth.

FUND ADMINISTRATION	AUDIT & TAX	INSTITUTIONAL BANKING	SECURITIES COUNSEL
NAV Fund Services	**Spicer Jeffries LLP**	**Axos Bank**	**SCALE LLP / Dori Karjian**

PRINCIPAL & CIO
Caleb Caraway

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